

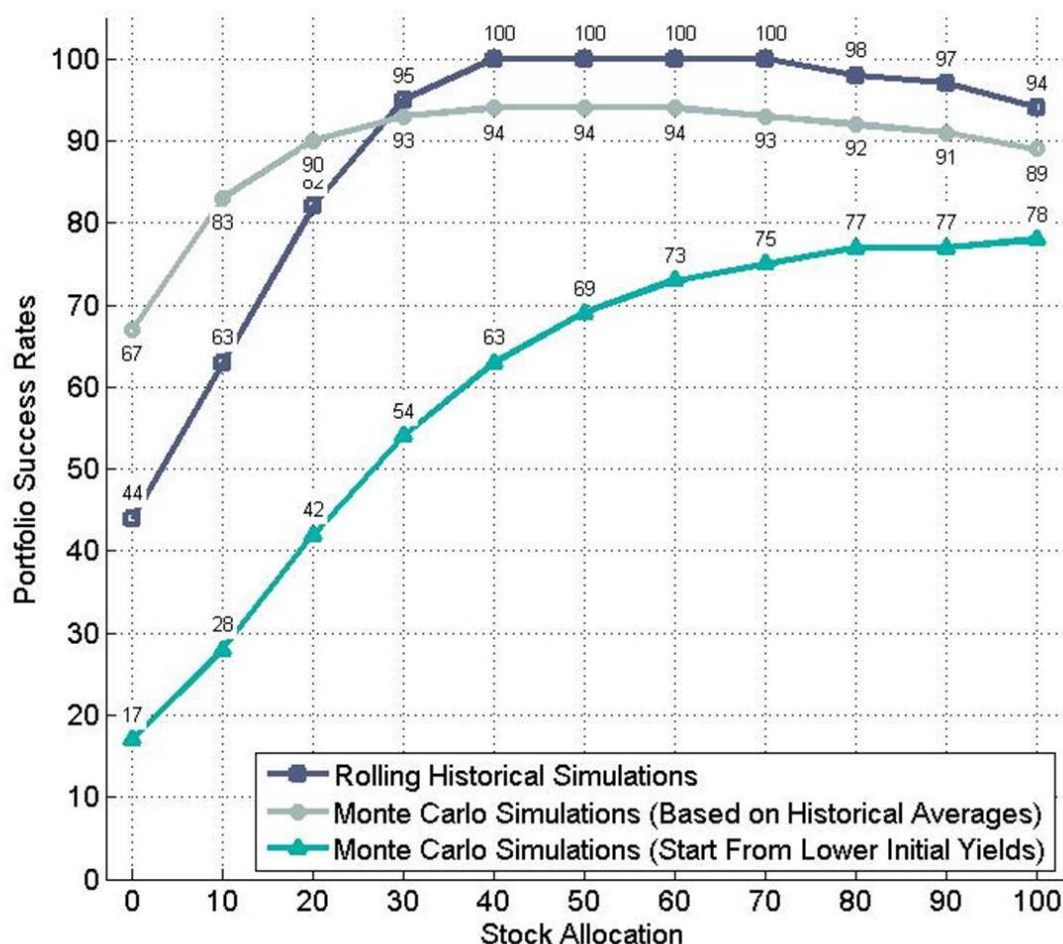


Exhibit 5.7 provides further details by plotting failure rates (instead of success rates) for different withdrawal rates and asset allocations, using the same Monte Carlo simulations that reflect the lower interest rate environment of today. Failure for a 3 percent withdrawal rate hovers at about 10 percent for stock allocations between 40 and 100 percent. This suggests that in a lower interest rate world, a 3 percent withdrawal rate reflects something closer to a chance of success that a 4 percent withdrawal rate historically provided over the broad range of historical market environments. With higher withdrawal rates, failure rates increase accordingly. In addition, when spending rises above what the bond yield curve is able to support, bonds will tend to lock in failure. This explains why the 100 percent stock allocations support the lowest failure rates when spending rates are 4 percent or more. Aggressive allocations provide a type of “Hail Mary pass” that